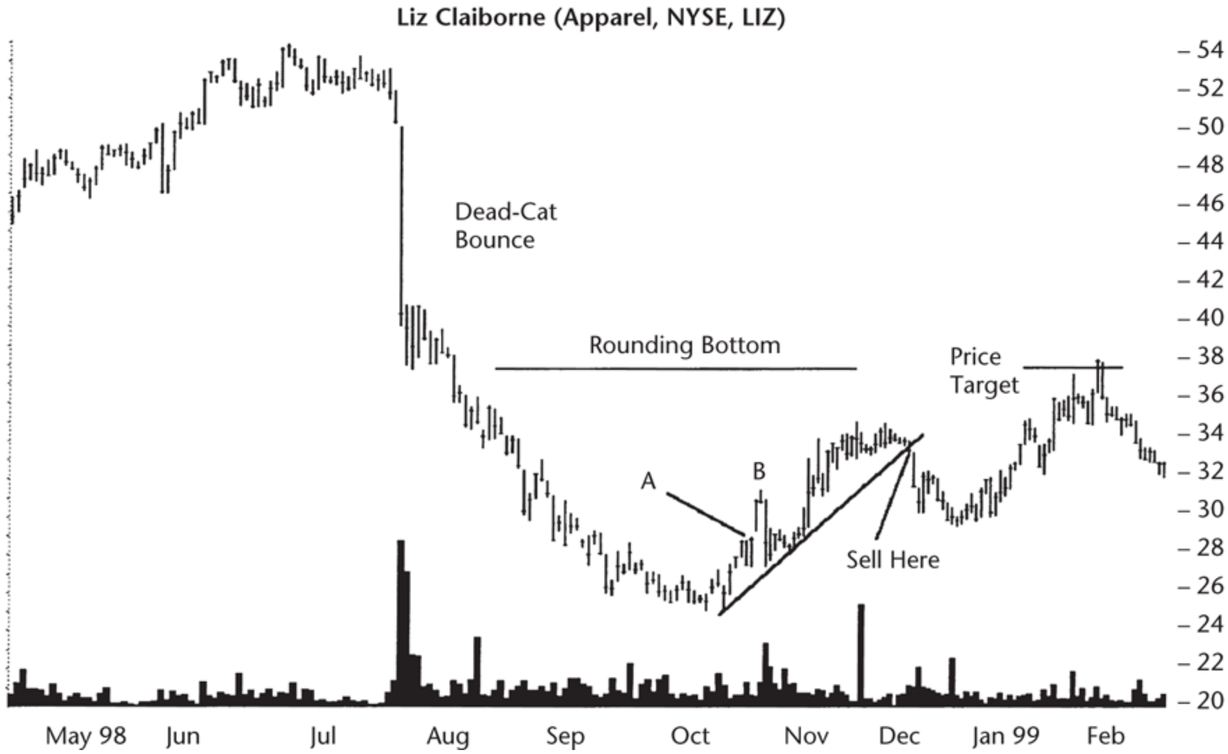

Figure 55.4 A treacherous example of a rounding bottom that has no left rim. The rounding turn forms after disappointing earnings sends the stock into a dead-cat bounce.

Table 55.3 gives an example of how that table is useful when combined with the measure rule, so flip back to that discussion when you have time.

Buy bottom. In my trade review (see Experience), I have bought rounding bottoms as they make the turn at the bottom. If price closes below the bottom of the chart pattern, then it's best to close out the trade. If price rises, then you can sell at the right rim or even hold on for an upward breakout and ride price higher.

Wait for breakout, watch for handle. I consider rounding bottoms to be one of the more treacherous chart patterns. Take another look at Figure 55.4. In judging when the breakout occurs, you can use either the left or right saucer rim (in theory). Use whichever one gets you in soonest.

Unfortunately, this rounding bottom has no left rim and the right rim could be either B or the peak in November. How do you determine a breakout?

That is the situation I faced. I learned that in such circumstances I needed to wait for the handle to form and price to climb above the handle high (or